Goods on Country: the cost story (v6)

Where the cost lives, how the headline number misleads, and how the bed gets cheaper as volume and in-sourcing grow.

1 · IDIOT INDEX

Where the cost lives, per component

Index = what we pay now ÷ raw-material floor. A high bar is not waste; it is the value-add (and supplier margin) we could capture by in-sourcing.

The capital case is a plastic-processing ask, full stop: in-source HDPE shred + press + CNC and capture ~AU$289/bed of Defy margin (~AU$144K/yr at 500 beds).

2 · MARGINAL vs FIXED

Why "AU$1,912/bed" is the wrong number

The honest split

MARGINAL (per bed, scales with each bed)

Defy-kit today AU$685

Factory (in-sourced) AU$426

PLUS ANNUAL FIXED BLOCK (does not scale per bed)

~AU$110-123K / yr *facility + production time + admin + field travel*

Funded by philanthropy today; absorbed by bed margin at scale.

The distortion to retire

AU$1,912 / bed (the "fully-loaded at 100/yr" figure)

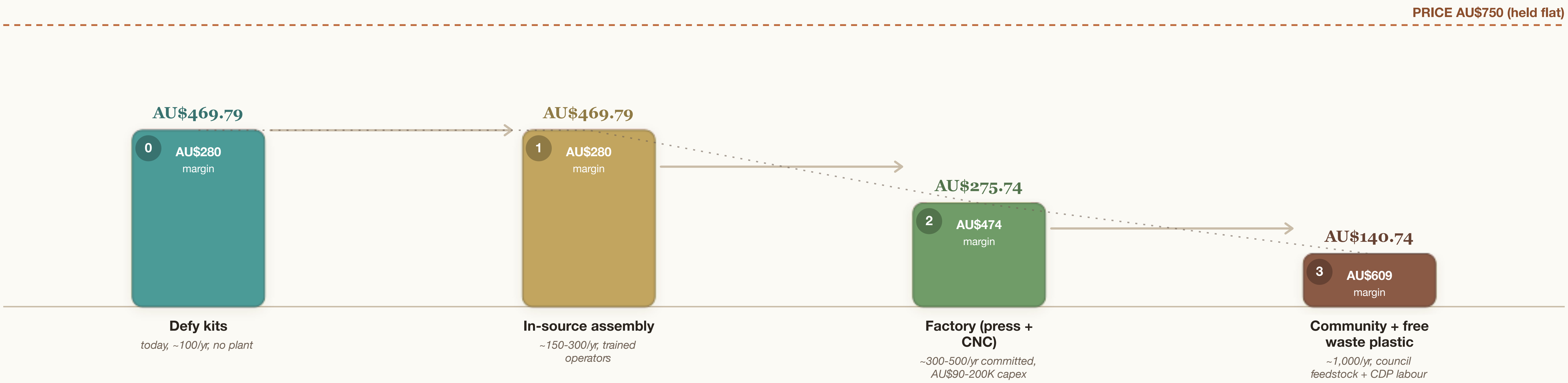
It divides a fixed annual block over an artificially small 100-bed denominator, and miscounts long-haul freight as overhead. It is arithmetic, not a real unit cost.

Breakeven on the factory path: ~378 beds / yr (AU$750 price, AU$426 marginal).

3 · COST-DOWN TRAJECTORY

The bed gets cheaper as volume and in-sourcing grow

Direct cost per bed at each stage, against the held AU$750 shop price. Each step is gated by committed volume and a make-vs-buy decision.



The honest sequence: buy Defy kits now; in-source when committed volume crosses ~300 beds/yr. Below that, the plant capex does not pay back.